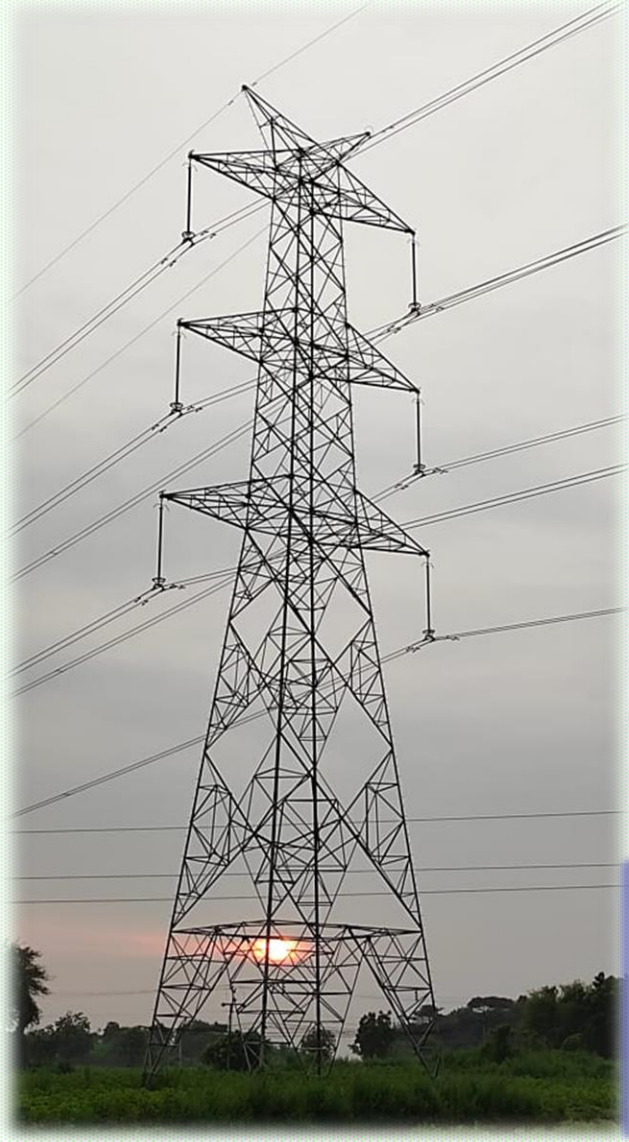
POWERGRID Infrastructure Investment Trust



पीजीइन्विट
PGInvIT

Investor Presentation
Results Q4 & FY2023
May 25, 2023

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Presentation Outline

- ☐ **PGInvIT Overview**
  - Trust Structure
  - PGInvIT at a glance
- ☐ **PGInvIT Performance**
  - Operational
  - Financial
- ☐ **Distribution**
- ☐ **Outlook**
- ☐ **Glossary**

PGInvIT – The power of AAA

Assets

Operational revenue generating assets

Sound operational track record with high Availability

Assurance

Backing of POWERGRID- one of the world’s largest transmission utilities as Sponsor & Project Manager

TBCB mechanism on build-own-operate-maintain basis – minimal regulatory risk

Advantage

Availability based Fixed tariffs - High visibility on cash flows

Low leverage - Debt funded acquisition strategy for upcoming acquisition opportunities

Consistent Returns

Stable Returns

Visible Returns

PGInvIT – Vision & Strategies

To achieve a focused business model with productive and operational efficiency to enhance returns

To Capitalize on value accretive growth through acquisitions and non-transmission revenues

To Optimize transmission assets through an efficient capital structure

Business Strategies

Achieve stable distributions by focusing on owning power transmission assets

Leverage Sponsor's and Investment Manager's industry knowledge & experience

Maintain **high transmission availability**

Optimize operating costs and incorporate new and efficient technologies

Capitalize on opportunities to acquire power transmission projects

PGInvIT **well-placed to benefit** from monetisation under NMP

Explore opportunities from monetisation by States or other developers

Seek to generate **non-transmission revenue**, including by leasing of optical ground wire and transmission towers

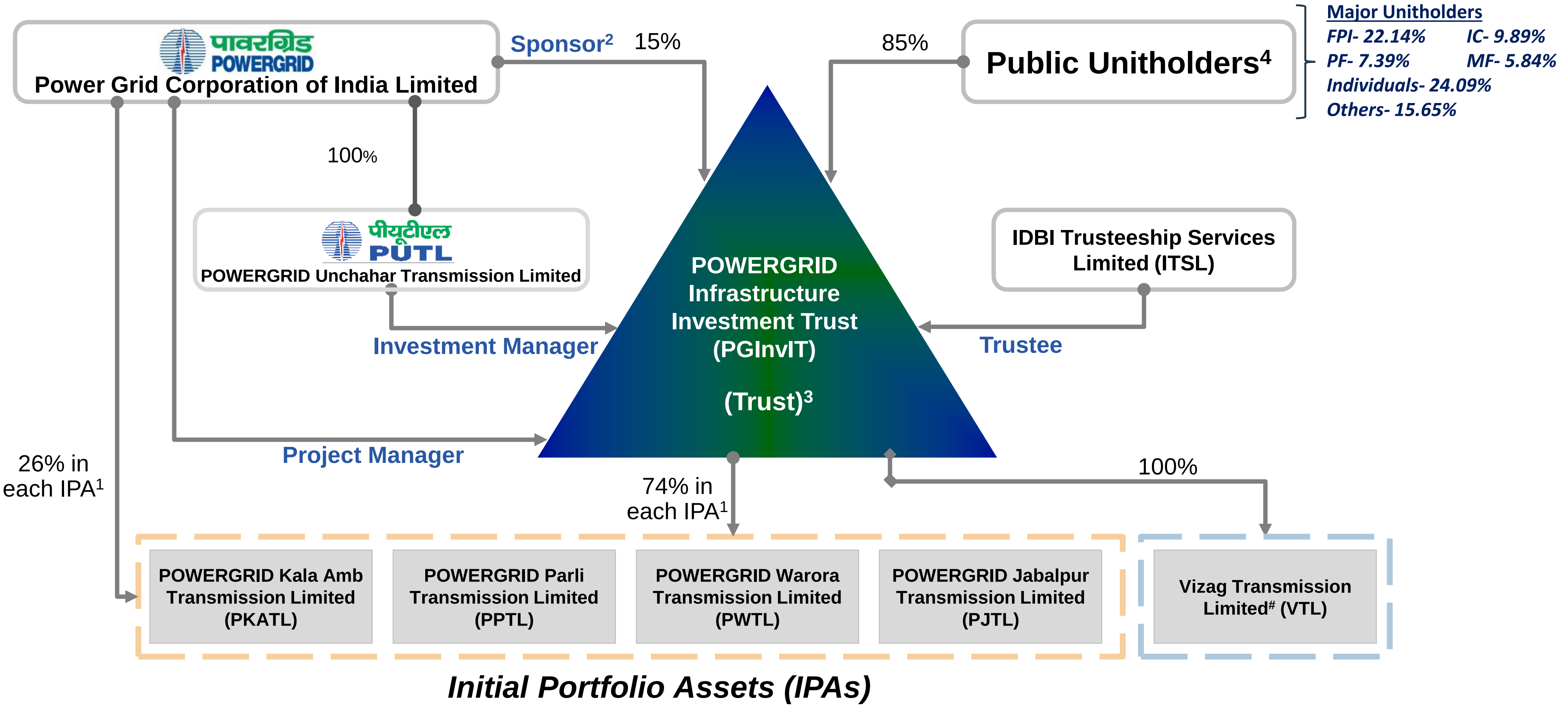
Maintain an optimal and varied portfolio of transmission assets, as well as an **efficient capital structure**

Employ appropriate financing policies and **diversify sources of financing** to minimize overall cost of capital

Consider both **private and public markets**, for raising debt capital, to acquire additional power transmission projects

PGInvIT Structure

(as on March 31, 2023)



पावरग्रिड POWERGRID
Power Grid Corporation of India Limited

Sponsor[2] 15%

85%

Public Unitholders[4]

Major Unitholders
FPI- 22.14% *IC- 9.89%*
PF- 7.39% *MF- 5.84%*
Individuals- 24.09%
Others- 15.65%

100%

पीयूटीएल PUTL
POWERGRID Unchahar Transmission Limited

Investment Manager

POWERGRID Infrastructure Investment Trust (PGInvIT)

(Trust)[3]

IDBI Trusteeship Services Limited (ITSL)

Trustee

Project Manager

26% in each IPA[1]

74% in each IPA[1]

100%

POWERGRID Kala Amb Transmission Limited (PKATL)

POWERGRID Parli Transmission Limited (PPTL)

POWERGRID Warora Transmission Limited (PWTL)

POWERGRID Jabalpur Transmission Limited (PJTL)

Vizag Transmission Limited[#] (VTL)

Initial Portfolio Assets (IPAs)

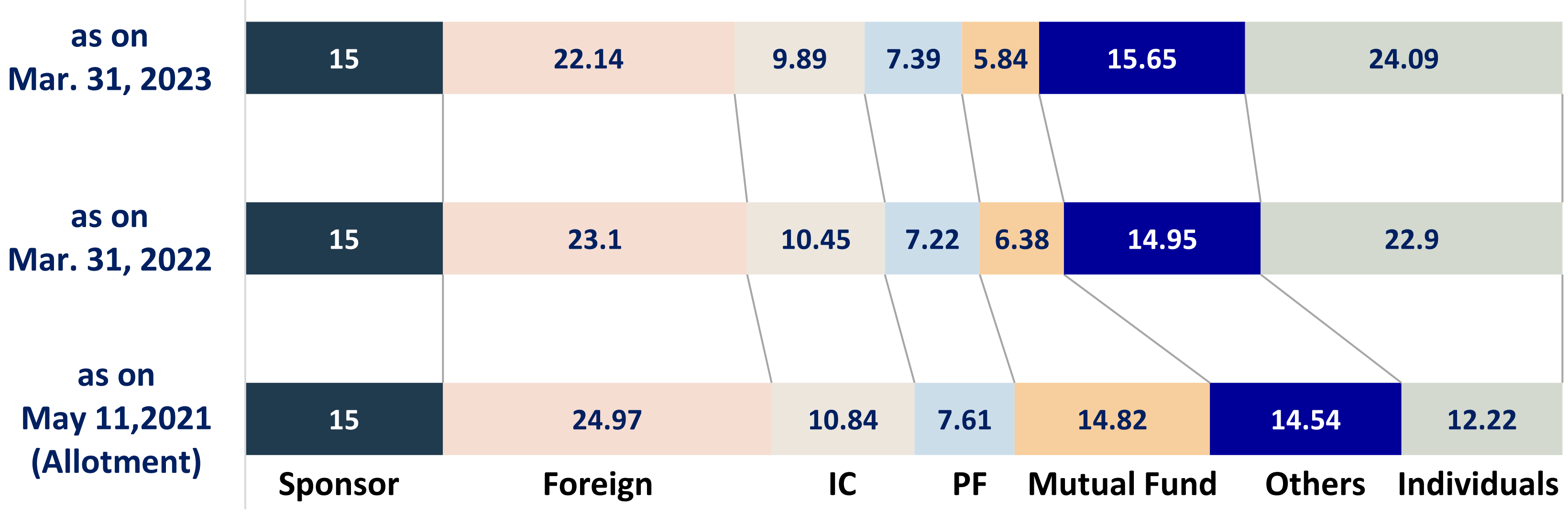
Notes:
1. Balance 26% stake shall become eligible for acquisition in a phased manner, after expiry of the lock-in conditions under the TSA. i.e. PKATL(Jul'22); PPTL(Jun'23), PWTL(Jul'23) and PJTL(Jan'24)
2. Holds 136.5 mn units
3. Total 910.0 mn units
4. Hold 773.5 mn units

formerly POWERGRID Vizag Transmission Ltd.

FPI-Foreign Portfolio Investor; IC- Insurance Cos.; PF- Pension Fund/ Provident Fund; MF- Mutual Funds

PGInvIT- Diverse Investor base

Unitholding Pattern (Total Outstanding Units: 910 mn)



Enjoying Confidence of Diverse set of Investors

- **Reputed Global Investors** including Pension Funds
- **Insurance Companies (IC), Pension and Provident Funds (PF)** holding- Stable since IPO
- **Individual Investors** holding- consistent and significant increase since IPO

Major Unitholders (as on 31.03.2023)

CPP INVESTMENT BOARD
CAPITAL GROUP®
Schroders
SBI PENSION FUNDS (P) LTD.
HDFC MUTUAL FUND
SBI Life INSURANCE
TATA AIG INSURANCE
TATA AIA LIFE
ICICI Lombard GENERAL INSURANCE
MetLife

PGInvIT at a glance

POWERGRID Infrastructure Investment Trust - India's 1st InvIT sponsored by a CPSE
......enjoying confidence of marquee investors

Sponsor & Project Manager- POWERGRID

a Maharatna CPSE; one of the largest transmission utilities, globally

5 Operational and Revenue Generating ISTS TBCB SPVs

Perpetual ownership with 35-year contract period

Availability-based Tariff

Billing and Collection through CTUIL

11 Tr. lines; 3,699ckm

3 substations;

6,630 MVA

>98%

Availability since DOCO

29+ yrs

Avg. TSA Residual Life

(as on Mar-23)

Strong governance framework

Listed on NSE & BSE

part of Nifty REITs & InvITs Index (2nd Highest weightage)

₹ 85.46 billion

Enterprise Value

(as on Mar. 31, 2023)

0.91.%

Net Debt/ AUM

(as on Mar. 31, 2023)

AAA

Credit Ratings

₹ 22.50 per Unit*

DPU since listing

(Including Rs.3.00 declared on May 25, 2023)*

₹ 12 per Unit

DPU guidance for FY24

PGInvIT- Initial Portfolio Assets

Description	Vizag Transmission Ltd.$	POWERGRID Kala Amb Transmission Ltd.#	POWERGRID Parli Transmission Ltd.	POWERGRID Warora Transmission Ltd.	POWERGRID Jabalpur Transmission Ltd.
Location	Andhra Pradesh and Telangana	Himachal Pradesh	Maharashtra	Madhya Pradesh and Maharashtra	Madhya Pradesh
No. of lines & substations	2 lines	1 line; 1 S/S	3 lines; 1 S/S	4 lines; 1 S/S	1 line
Line length (ckm)	956.84	2.47	966.12	1,028.11	745.05
Transformation capacity (MVA)	-	630	3,000	3,000	-
Comml. Operation Date	Feb 2017	Jul 2017	Jun 2018	Jul 2018	Jan 2019
% stake acquired by PGInvIT	74%- IPO 26%- Mar22	74%- IPO	74%- IPO	74%- IPO	74%- IPO
Lock-in expiry (for Bal. 26%)	**Acquisition Completed**	**Jul 2022**	**Jun 2023**	**Jul 2023**	**Jan 2024**
Residual Life of TSA (years)	28.83	29.28	30.18	30.28	30.75

# In addition to the above, PKATL is implementing a project allocated to it by Ministry of Power, GoI under the RTM

$ formerly POWERGRID Vizag Transmission Limited

(as on March 31, 2023)

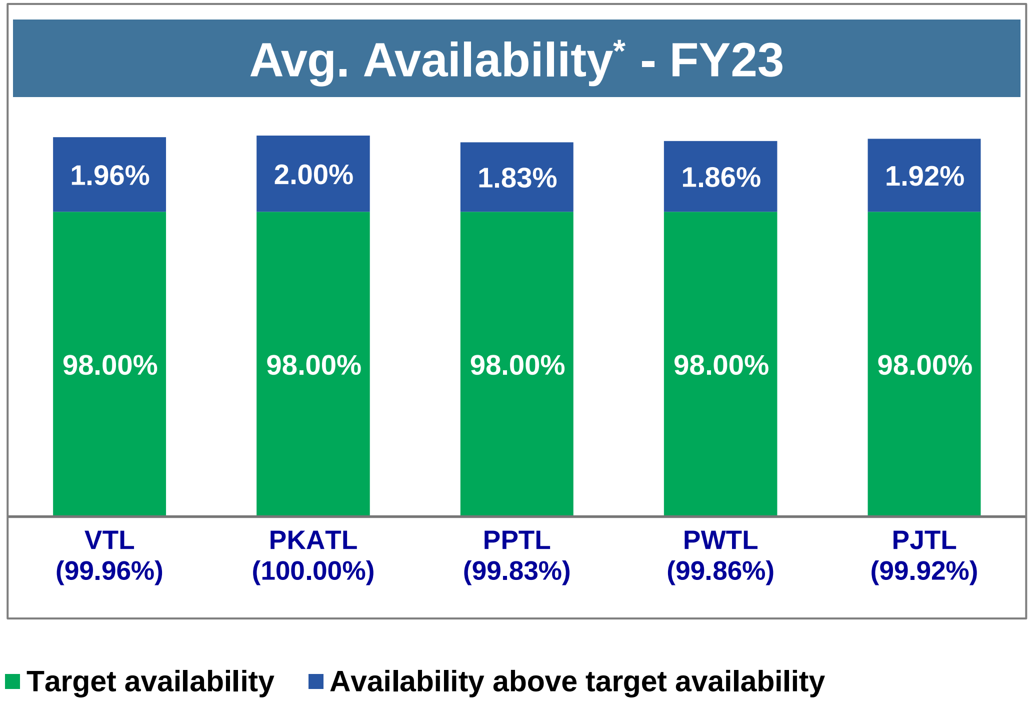
Operational Performance - FY23

Consistently achieving High Availability of Assets ……
……with POWERGRID as Project Manager to PGInvIT

Average Availability since DOCO

>98%

Accident Free Operations



** Availability for Jan.'23-Mar.'23 are provisional. Certificates yet to be received from RPCs*

1. Routine & Preventive Maintenance
2. Safety Drills & Training
3. AI/ML techniques for defect identification
4. Aerial Patrolling using Drone
5. Operational Trainings for teams

Committed to stakeholders

₹ 114.99 mn contributed by IPAs to PM CARES Fund under CSR

Financial Performance – Q4FY23

Consistent Financial Performance

Financials (Consolidated)

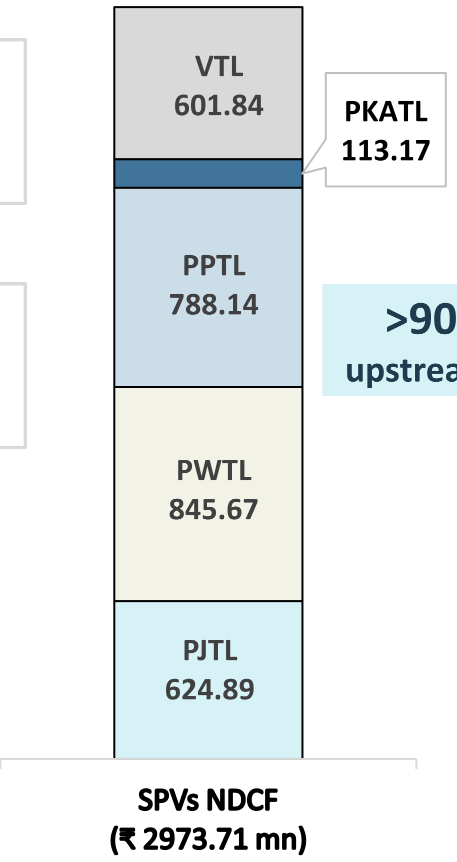
Total Income

- **₹ 3,228.60 mn**

Operating Expenses

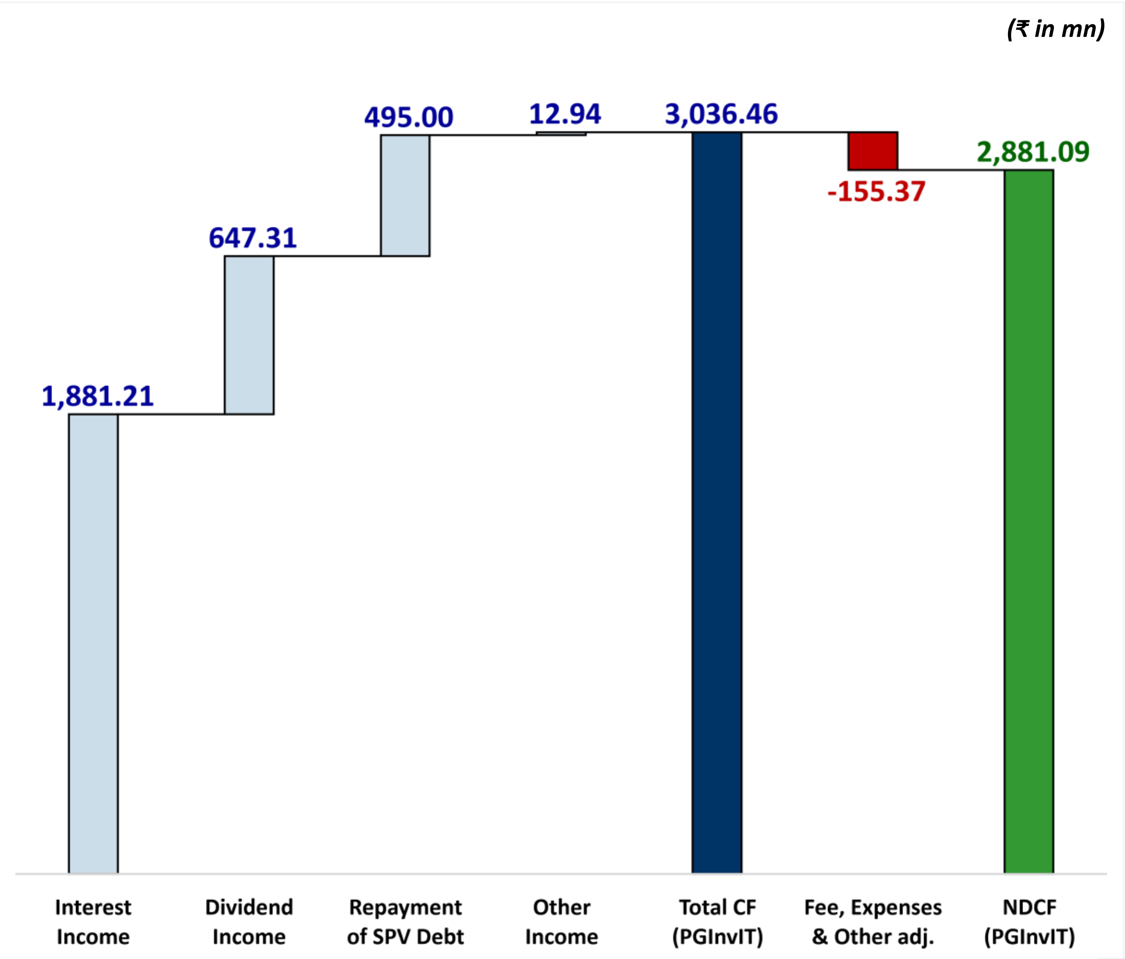
- **₹ 314.05 mn**

NDCF at SPVs



>90% upstreamed

NDCF at PGInvIT (Q4FY23)



Financial Performance – FY23

Consistent Financial Performance

Financials (Consolidated)

Total Income

- ₹ 13,152.91 mn

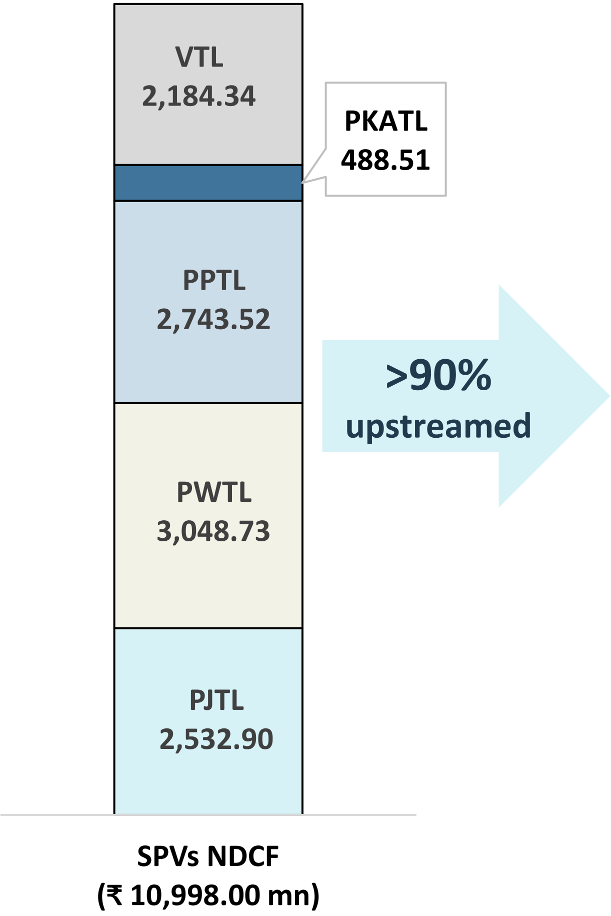
Operating Expenses

- ₹ 889.23 mn

Total Debt
₹ 5,727.07 mn

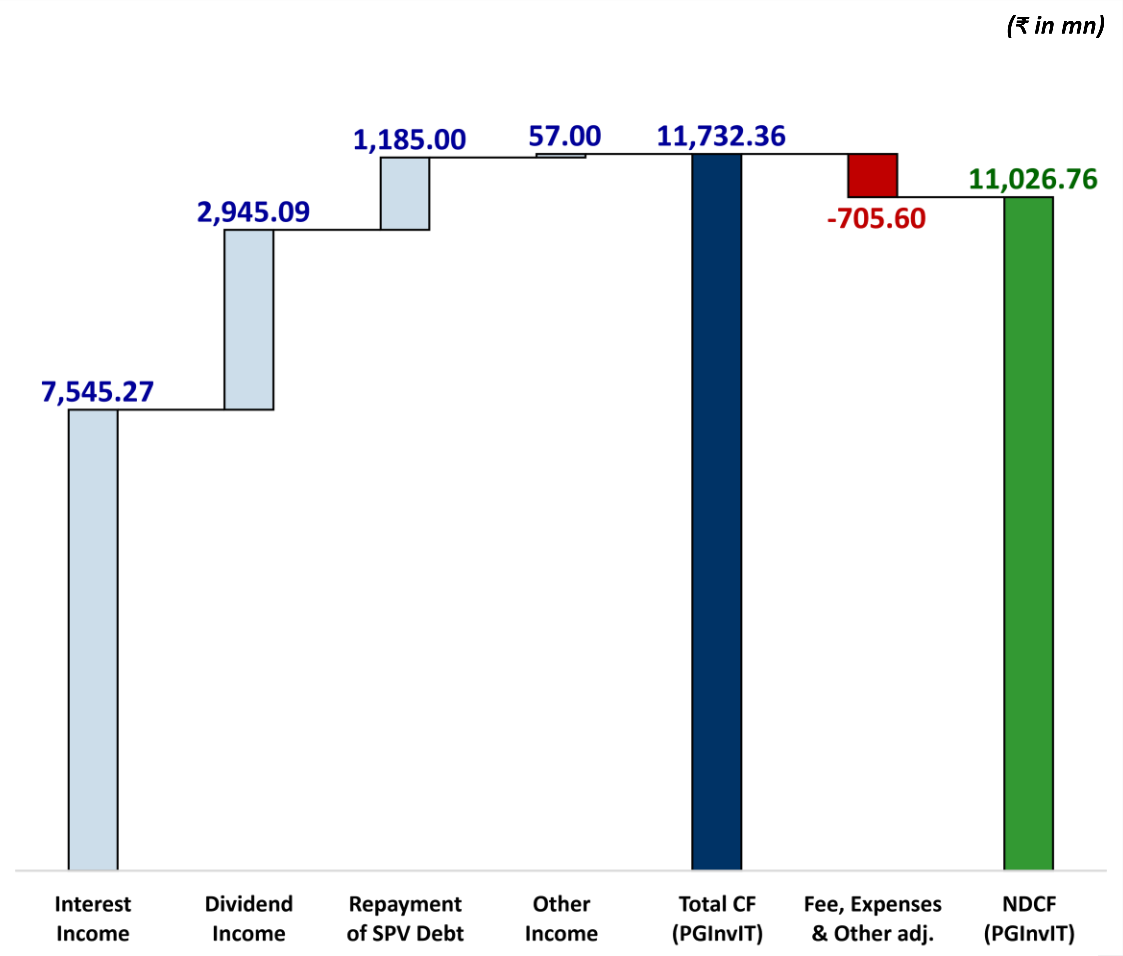
Receivable Days
47

NDCF at SPVs



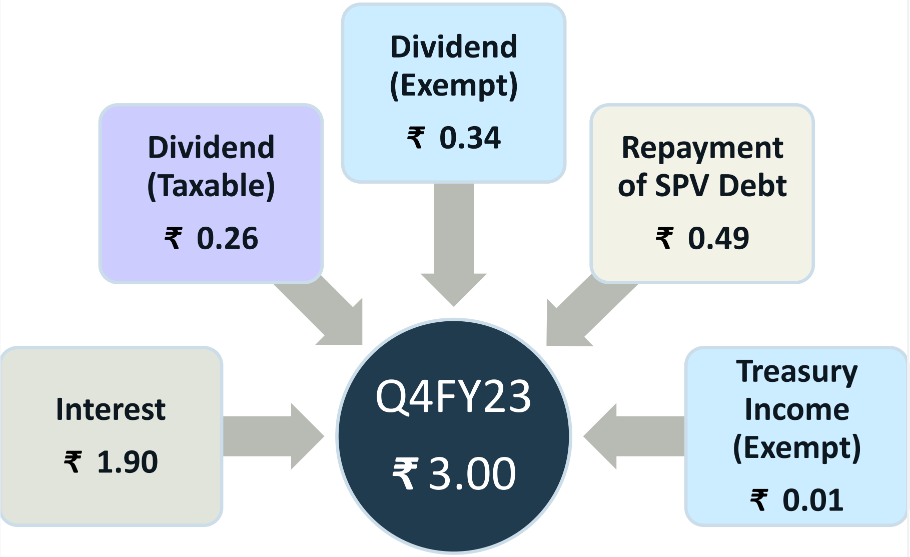
SPVs NDCF
(₹ 10,998.00 mn)

NDCF at PGInvIT (FY23)



Distribution – Q4FY23 & FY23

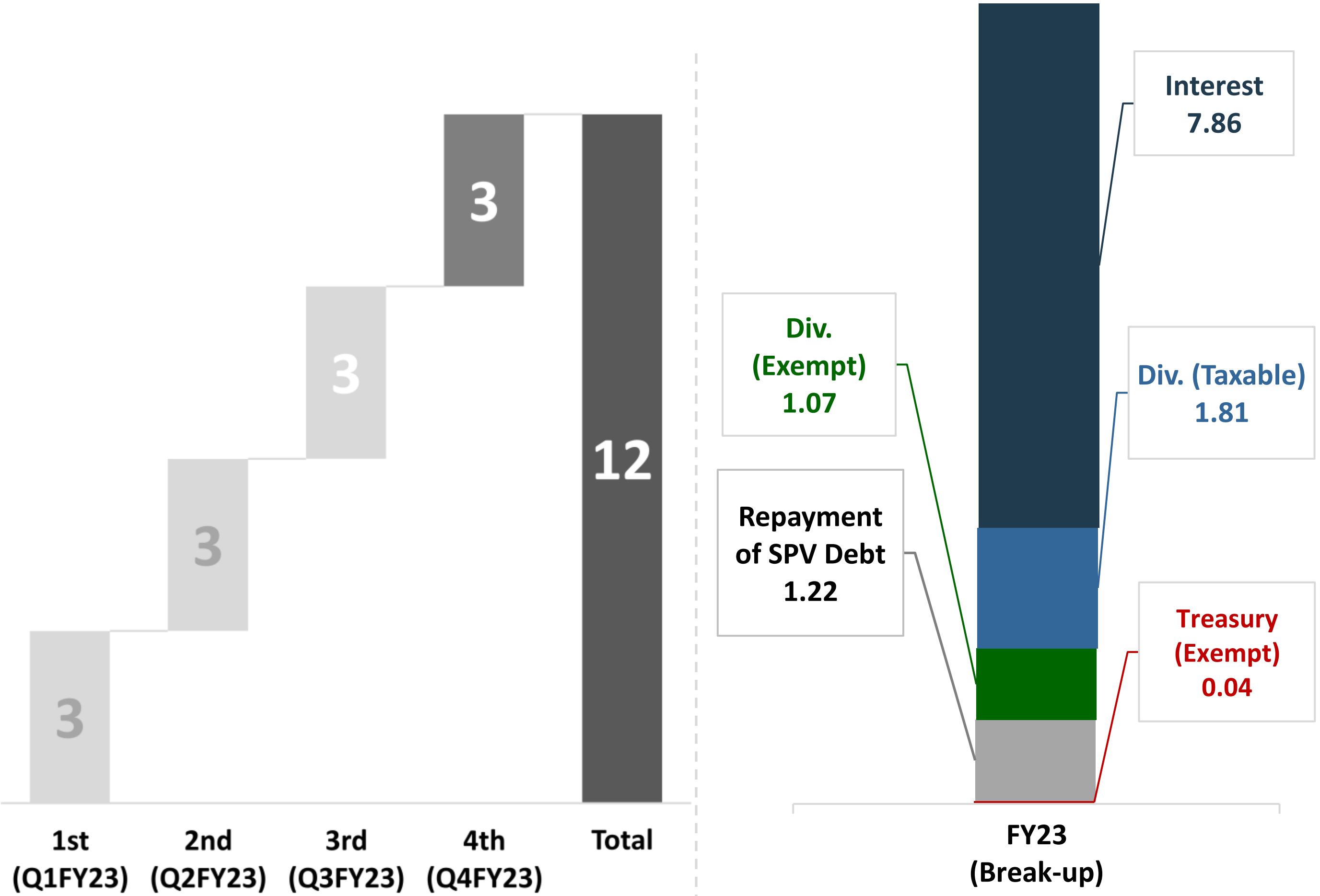
Total Distribution per unit for Q4FY23



Dividend (Exempt) ₹ 0.34
Dividend (Taxable) ₹ 0.26
Repayment of SPV Debt ₹ 0.49
Interest ₹ 1.90
Q4FY23 ₹ 3.00
Treasury Income (Exempt) ₹ 0.01

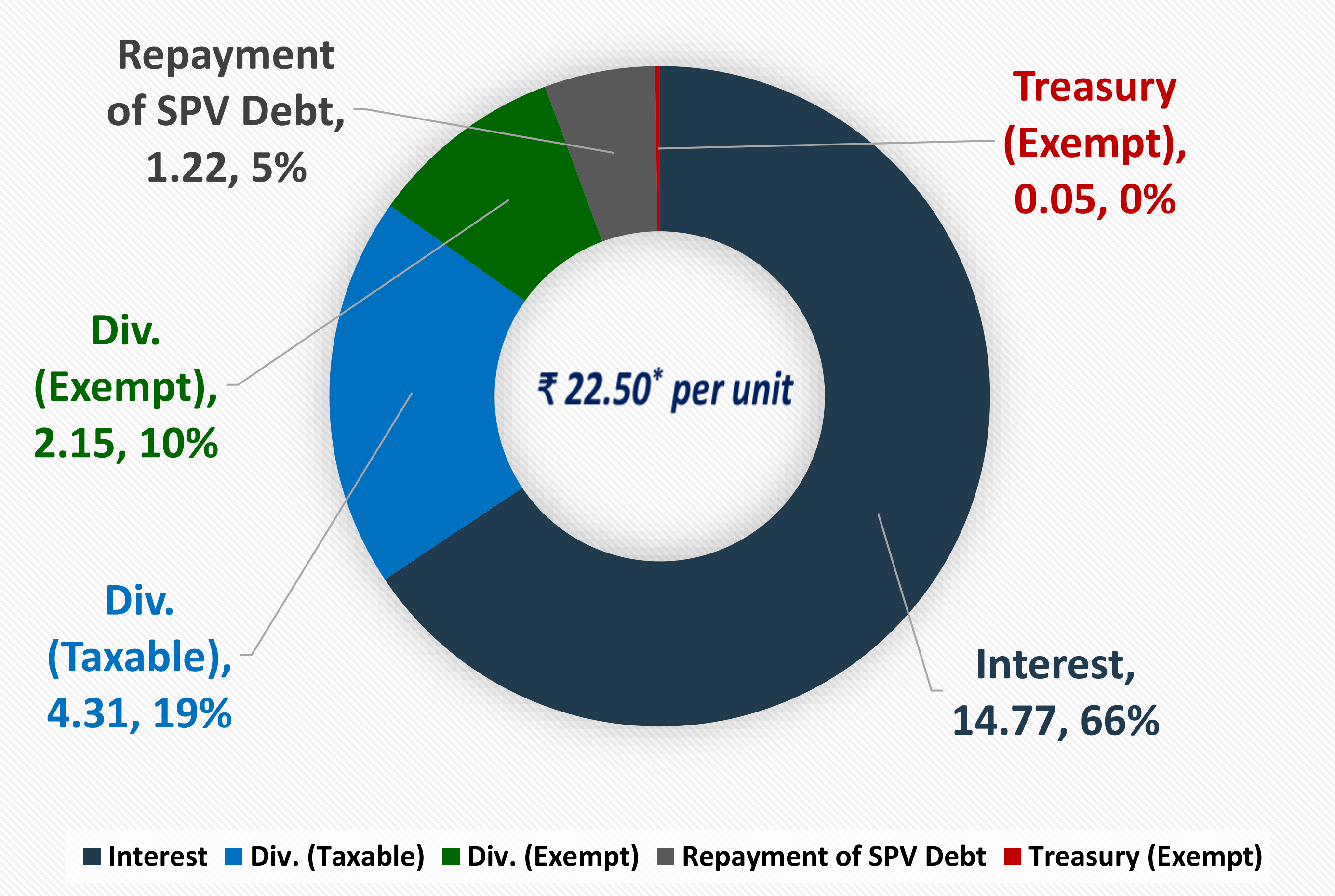
Record Date for Distribution
May 31, 2023

Total Distribution (Rs.) per unit for FY23



Distribution – since IPO

Break-up of Total Distributions since IPO: ₹ 22.50* per unit



(Including Rs 3.00 declared on May 25, 2023)*

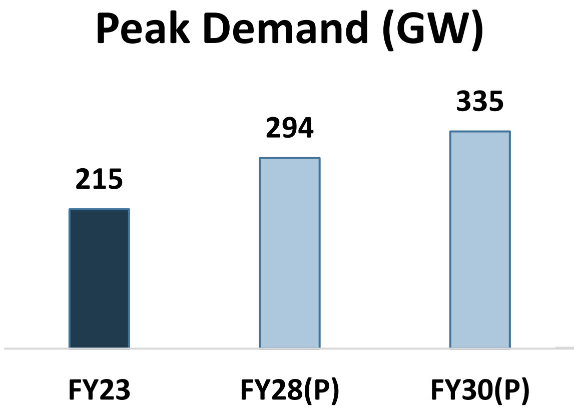
PGInvIT Distribution Policy

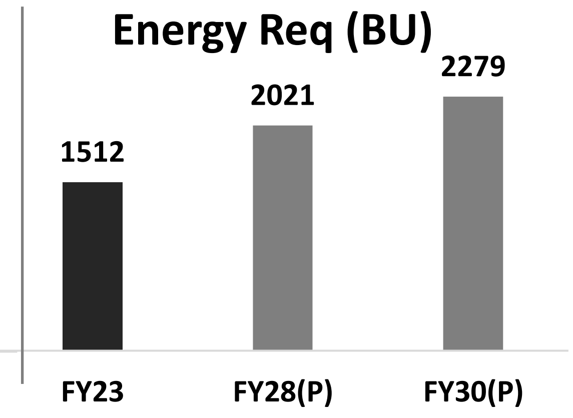
- InvIT Assets to distribute not less than 90% of each of their NDCFs to the Trust
- Trust to distribute at least 90% of the Distributable Income to the Unitholders
- Distribution to be declared and made not less than once every quarter

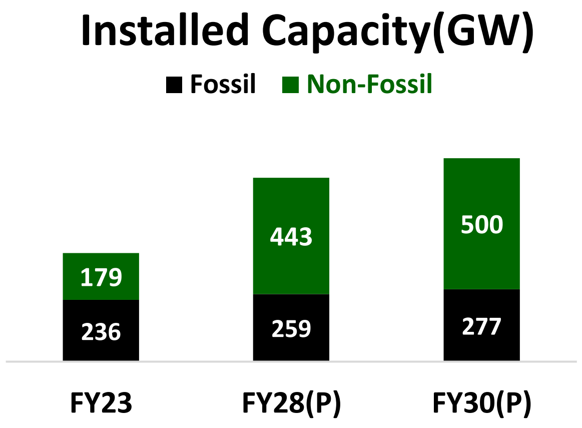
Sectoral Update

Factors Driving Power Sector Growth in India…

- Power For All
- Industrial Growth
- National Commitment to Energy Transition


Peak Demand (GW)


Energy Req (BU)


Installed Capacity(GW)

….leading to sustained investments and growth of power transmission sector….

Transmission Network Expansion *(upto 2027-28)*[1]	Transmission Lines : >42,000 ckm
	Transformation Capacity: ~ 4,00,000 MVA
	Investment: ~Rs 2,24,000 crore (incl. > Rs.30,000 crore under bidding)

…..providing opportunities for acquisition going forward

*Sources: CEA Reports; *CTU Rolling Plan, 2027-28 March 2023; CEA Reports*

Outlook

Balance 26% equity stake in four SPVs (PKATL, PPTL, PWTL & PJTL) from Sponsor	Completion of 5 years from Commercial Operation Date (PKATL-Jul'22; PPTL- Jun'23; PWTL-Jul'23; PJTL-Dec;23)	Acquisition envisaged during the year Targeted through Debt
	Right with PGInvIT to acquire balance stake, in line with TSA conditions	Valuation by independent Valuer Policy on Related Party Transactions Corporate Governance Framework of PGInvIT
Acquisition Opportunities	GoI's National Monetization Pipeline	Targeted through Debt
	GoI's recommendations to States for monetisation	Suitability Test- Operational history & Compliances with InvIT Regulations; Statutory requirements; Value accretive
	Asset sale by other developers	

Enablers for Debt-funded Acquisition Strategy

Significant headroom for Debt funding for acquisition	**Confidence of lenders**	**Highest Credit Rating 'AAA' by CARE, CRISIL & ICRA**

Glossary

Term	Description
AUM	Assets Under Management
ckm	circuit kilometres
CPSE	Central Public Sector Enterprise
DOCO	Date of Commercial operation
Q4FY23/FY2023	Quarter ended March 31, 2023/ Financial Year 20022-23
IM	Investment Manager
InvIT	Infrastructure Investment Trust
IPA	Initial Portfolio Assets (used interchangeably with SPV)
IPO	Initial Public Offer
MVA	Mega Volt Ampere
NDCF	Net Distributable Cash Flow
O&M	Operation and maintenance
PJTL	POWERGRID Jabalpur Transmission Limited
PKATL	POWERGRID Kala Amb Transmission Limited
POWERGRID	Power Grid Corporation of India Limited
PPTL	POWERGRID Parli Transmission Limited
PWTL	POWERGRID Warora Transmission Limited
RPC	Regional Power Committee
SPV	Special Purpose Vehicle (used interchangeably with IPA)
TBCB	Tariff Based Competitive Bidding
TSA	Transmission Service Agreement
VTL	Vizag Transmission Limited (formerly POWERGRID Vizag Transmission Limited, PVTL)
mn	million
TL	Transmission Limited

Thank you